

CUSTOMERPULSE AI

CUSTOMER RETENTION STRATEGY

Version 1.0

1. PURPOSE

The purpose of this customer retention strategy is to identify customers who are at risk of leaving the platform and recommend appropriate actions to improve customer engagement, satisfaction, and long-term retention.

Customer retention decisions should consider customer behavior, product usage, support interactions, payment activity, subscription status, and overall customer value.

2. CUSTOMER RISK LEVELS

Customers can be categorized into four risk levels based on their predicted probability of churn.

LOW RISK

Churn probability between 0% and 39%.

Recommended approach:

- Continue normal customer engagement.
- Provide regular product updates.
- Recommend relevant features.
- Monitor changes in usage behavior.

MEDIUM RISK

Churn probability between 40% and 59%.

Recommended approach:

- Monitor customer activity more frequently.
- Send product education content.
- Identify features that the customer has not used.
- Review recent support interactions.
- Encourage continued product engagement.

HIGH RISK

Churn probability between 60% and 79%.

Recommended approach:

- Contact the customer proactively.
- Investigate recent changes in product usage.
- Review unresolved support issues.
- Provide product guidance.
- Consider an appropriate retention offer when permitted.
- Monitor the customer after intervention.

CRITICAL RISK

Churn probability between 80% and 100%.

Recommended approach:

- Contact the customer as soon as possible.
- Review recent support tickets.
- Investigate payment problems.
- Analyze recent usage decline.
- Identify product features that could increase customer value.
- Provide personalized assistance.
- Escalate serious unresolved issues to the customer success team.

3. IMPORTANT CHURN INDICATORS

The following customer behaviors may indicate increased churn risk:

- Significant decrease in product usage.
- Reduced login frequency.
- Long periods without activity.
- Increase in support tickets.
- Multiple unresolved support issues.
- Repeated payment failures.
- Monthly subscription without long-term commitment.
- Declining engagement with important product features.

4. USAGE DECLINE

A significant decline in product usage should be treated as an important warning signal.

For example:

Previous monthly usage: 100 hours

Current monthly usage: 55 hours

Usage decline: 45%

Customers showing significant usage decline should be reviewed to determine whether they are experiencing product difficulties, lack of product knowledge, or reduced business requirements.

5. SUPPORT-RELATED RETENTION

Customers with multiple support tickets may have unresolved problems.

Recommended actions:

- Review the customer's recent tickets.
- Identify recurring problems.
- Determine whether the issue has been resolved.
- Contact the customer if the issue remains unresolved.
- Escalate critical problems when necessary.

6. PAYMENT-RELATED RETENTION

Payment failures can create customer dissatisfaction and accidental subscription cancellation.

For customers experiencing payment failures:

- Identify the failed payment.
- Check whether the problem has been resolved.
- Provide payment assistance.
- Inform the customer about available payment options.
- Monitor future payment activity.

7. CUSTOMER ENGAGEMENT

Customers with declining engagement should receive relevant product education.

Recommended engagement actions include:

- Feature tutorials.
- Product demonstrations.
- Recommended features.
- Usage guides.
- Personalized onboarding assistance.

8. RETENTION INTERVENTION PRIORITY

Retention efforts should generally prioritize customers based on:

1. Churn probability.
2. Customer value.
3. Severity of recent problems.
4. Usage decline.
5. Support history.
6. Payment problems.

9. EXAMPLE RETENTION SCENARIO

Customer ID: 10245

Churn probability: 87%

Risk level: Critical

Observed indicators:

- Low login frequency.
- Significant decline in product usage.
- Multiple support tickets.
- Recent payment failures.

Recommended action:

The customer should be contacted within 24 hours. The support history and payment issues should be reviewed. The customer should receive personalized assistance and guidance regarding relevant product features.

10. SUCCESS MEASUREMENT

Retention activities can be evaluated using:

- Reduction in churn rate.
- Increase in customer engagement.
- Increase in product usage.
- Reduction in unresolved support issues.
- Reduction in payment failures.
- Improvement in customer retention.